

a market peak that was not exceeded for eight years.) The fact that 1995/6 is related to so many “B” wave peaks is interesting not only because the rise from 1987 to 1995 may be counted as a “B” wave as shown in Figure 4-2, but because as Chapter 3 explained, the bull market dating from 1982 is a “B” wave when viewed in inflation-adjusted terms, as shown in the inset in Figure 4-4. If wave B peaks in 1995 or 1996, it will complete long term Fibonacci time spans from three previous “B” waves, as summarized in Figure 4-4.

As you can see by Figures 4-3 and 4-4, 1995 (with leeway to 1996) is the only year in the history of the Grand Supercycle that is related to prior turning point years by every Fibonacci number from **5** to **144**. (Only 1929 comes close.) Thus, the end of Cycle wave V in the actual Dow and a simultaneous top of wave B in the inflation-adjusted Dow would complete the greatest number of Fibonacci time progressions in **1995**.

Though not part of the Wave Principle, it is of some interest that a top in 1995 would make the duration between the peaks of waves I to III (1937 to 1966) equal that between the peaks of III and V (1966 to 1995), at 29 years each. It will also make wave V, at 21 years, equal to $\frac{1}{3}$ of wave (V), at 63 years.

Tying 1987 to 1995

Several observations about the construction of wave V support the case that the 8-year span from 1987 to 1995 has meaning beyond simply being a Fibonacci number of years. For instance, as you can see by the diagonal lines in Figure 4-3, a peak in 1995 would complete two overlapping bull markets of equal Fibonacci time length: 1974-1987 took **13** years, and 1982-1995 will have taken **13** years.

If a *topping process* that began in 1987 ends in **8** years, in 1995, it will balance the **8-year bottoming process** of 1974-1982. Figure 10-3 illustrates these equal durations, and also depicts the fact that the true bull market (i.e., the movement from undervaluation to overvaluation) was only a five-year affair, from 1982 to 1987. Those **5** years are a Fibonacci .618 of the preceding **8-year** accumulation period and of the subsequent **8-year** distribution period to date. One of Elliott’s guidelines is that first and fifth waves tend toward equality when wave three is the longest. In its own way, 1982-1987 satisfied that guideline with respect to the bull market of 1932-1937 in that they are of equal duration. The eight years on either side were